Fixed Charge Cover

The eighties witnessed the birth and the development of several financing and leasing companies in India. These companies offer the opportunity of leasing equipment as opposed to purchasing it. One benefit of leasing is that the rentals paid are entirely tax deductible. Secondly, funds do not need to be deployed for the purchase of assets.

This is known as "off balance sheet financing", i.e. neither the real cost of the asset nor its liability is reflected in the balance sheet. The fixed charge cover considers off balance sheet obligations, such as rental expenses, and checks whether a company earns enough income to meet its interest and rental commitments:

$$\text{Fixed charge cover} = \frac{\text{Earnings before interest and taxes} + \text{Rental expense}}{\text{Interest and rental expense}}$$

Illustration

Ram Oil Soaps Ltd's income statement included the following figures:

	Rs. (crore)
Rental expense	400
Earnings before interest and tax	750
Interest	200
Earnings before tax	550
Tax @ 40	220
Profit after tax	330

$$\text{Fixed charge cover} = \frac{750 + 400}{200 + 400} = 1.91$$

At times it is argued that the dividend payable on preferred shares should also be accounted for in calculating this ratio as it is a fixed charge that has to be paid. In that case, the fixed charge cover is calculated in two stages. In the first stage, the fixed charge cover is calculated as explained above, and then the preferred dividends paid are taken into account:

$$\frac{\text{Net Income} + (1 - \text{Tax rate})\ (\text{Interest and rental expenses})}{(1 - \text{Tax rate})\ (\text{Interest and rental expense}) + \text{Preferred dividends}}$$